

Agreement to Sub-Lease Commercial

Form 515

for use in the Province of Ontario

This Agreement to Sub-Lease (Agreement) dated this..... day of..... 20.....

SUB-TENANT:
(Full legal names of all Sub-Tenants)

SUB-LANDLORD:
(Full legal name of Sub-Landlord)

The Sub-Tenant hereby offers to sub-lease from the Sub-Landlord the premises as described herein on the terms and subject to the conditions as set out in this Agreement.

For the purposes of this Agreement to Sub-Lease "Sub-Tenant" includes sub-lessee and "Sub-Landlord" includes sub-lessor.

1. PREMISES: The "Premises" consisting of approximately (square) (feet/metres) more or less on the floor of the "Building" known municipally as in the of Province of Ontario, as shown outlined on the plan attached as Schedule ".....".

2. USE: The Premises shall be used only for.....
.....

3. TERM OF SUB-LEASE:

(a) The Sub-Lease shall be for a term of (.....) months commencing on the day of 20....., and terminating on the day of 20.....

(b) Provided the Sub-Tenant is not at any time in default of any covenants within the Sub-Lease, the Sub-Tenant shall be entitled to renew this Sub-Lease for additional term(s) of months (each) on written notice to the Sub-Landlord given not less than months prior to the expiry of the current term at a rental rate to be negotiated. In the event the Sub-Landlord and Sub-Tenant can not agree on the fixed minimum rent at least two months prior to expiry of the current Sub-Lease, the fixed minimum rent for the renewal period shall be determined by arbitration in accordance with the Arbitration Act or any successor or replacement act.

4. RENTAL: Fixed minimum rent: The fixed minimum rent payable by the Sub-Tenant for each complete twelve-month period during the Sub-Lease term shall be:

From..... to (inclusive), \$..... (per annum) being \$..... (per month), based upon \$..... (per sq) (foot/metre)

From..... to (inclusive), \$..... (per annum) being \$..... (per month), based upon \$..... (per sq) (foot/metre)

From..... to (inclusive), \$..... (per annum) being \$..... (per month), based upon \$..... (per sq) (foot/metre)

From..... to (inclusive), \$..... (per annum) being \$..... (per month), based upon \$..... (per sq) (foot/metre)

From..... to (inclusive), \$..... (per annum) being \$..... (per month), based upon \$..... (per sq) (foot/metre)

INITIALS OF SUB-TENANT(S): 

INITIALS OF SUB-LANDLORD(S): 



The trademarks REALTOR®, REALTORS®, MLS®, Multiple Listing Services® and associated logos are owned or controlled by The Canadian Real Estate Association (CREA) and identify the real estate professionals who are members of CREA and the quality of services they provide. Used under license.
© 2025, Ontario Real Estate Association ("OREA"). All rights reserved. This form was developed by OREA for the use and reproduction by its members and licensees only. Any other use or reproduction is prohibited except with prior written consent of OREA. Do not alter when printing or reproducing the standard pre-set portion. OREA bears no liability for your use of this form.

plus HST, and other tax (other than income tax) imposed on the Sub-Landlord or the Sub-Tenant with respect to rent payable by the Sub-Tenant, payable on: **(Check one box only)**

☐ the.....day of each month commencing.....

☐ the.....day of the first month immediately following completion of the Sub-Landlord's Work.

The fixed minimum rent shall be adjusted if the actual measurements of the Sub-Leased Premises differ from the approximate area. The actual measurement shall be agreed upon and failing agreement, calculated by an Ontario Land Surveyor/Architect using the current Building Owners And Managers Association standard form of measurement and shall be binding on both parties.

5. DEPOSIT AND PREPAID RENT:

The Sub-Tenant delivers.....
(Herewith/Upon acceptance/as otherwise described in this Agreement)

by negotiable cheque payable to..... "Deposit Holder"

in the amount of.....

Canadian dollars (\$.....) to be deposited and held in trust as security for the faithful performance by the Sub-Tenant of all terms, covenants and conditions of the Agreement and after the earlier of occupancy by the Sub-Tenant or execution of the Sub-Lease to be applied

by the Sub-Landlord against the.....and.....month's rent and HST. If the Agreement is not accepted, the deposit is to be returned to the Sub-Tenant without interest or deduction. For the purposes of this Agreement, "Upon Acceptance" shall mean that the Sub-Tenant is required to deliver the deposit to the Deposit Holder within 24 hours of the acceptance of this Agreement. The parties to this Agreement hereby acknowledge that, unless otherwise provided for in this Agreement, the Deposit Holder shall place the deposit in trust in the Deposit Holder's non-interest bearing Real Estate Trust Account and no interest shall be earned, received or paid on the deposit.

6. SERVICES: (Check one box only)

☐ The Sub-Tenant shall pay the cost of hydro, gas, water, heating, air-conditioning and for all other services and utilities as may be provided to the premises. The Sub-Tenant shall arrange with the local authority for connection of gas, electricity and water in the name of the Sub-Tenant.

☐ The Sub-Landlord shall pay the cost of hydro, gas, water, heating, air-conditioning and for all other services and utilities as may be provided to the premises.

7. ADDITIONAL RENT AND CHARGES:

☐ **Check this box if Additional Rent as described below to be paid by Sub-Tenant**

The Sub-Tenant shall additionally pay a proportionate share of all costs and expenses incurred by the Head Landlord in maintaining, operating, cleaning, insuring and repairing the property and, without limiting the generality of the foregoing, such costs and expenses shall include the costs of:

- (i) snow, garbage, and trash removal;
- (ii) landscaping and planters;
- (iii) heating, ventilating and air-conditioning, and providing hot and cold water and other utilities and services to, and operating the common areas of the property, and maintaining and repairing the machinery and equipment for such utilities and services;
- (iv) the realty taxes, assessments, rates, charges and duties levied or assessed against the property (save any tax on the personal income of the Head Landlord);
- (v) insuring the property and such other insurance as the Head Landlord will effect against public liability, property damage, loss of rental income and other casualties and risks.

(vi)

.....

.....

.....

INITIALS OF SUB-TENANT(S):

INITIALS OF SUB-LANDLORD(S):



8. **SCHEDULES:** The Schedules attached hereto shall form an integral part of this Agreement to Sub-Lease and consist of: Schedule(s).....
.....
.....

9. **HEAD LEASE:** The Sub-Tenant's interest in the Premises is by virtue of a lease (the "Head Lease") between:
..... and

Dated:....., a copy of which is attached hereto as Schedule(s).....
The Sub-Lease described herein is to be subject to and in accordance with the terms of the Head Lease, except for any terms and conditions of the Sub-Lease that are in direct contradiction to any term of the Head Lease, in which case the terms and conditions within the Sub-Lease Agreement between Sub-Landlord and Sub-Tenant will apply. Subject to this provision, both the Sub-Landlord and the Sub-Tenant agree to fully comply with the terms and conditions of the Head Lease and the Sub-Lease.

10. **APPROVAL OF HEAD LEASE BY SUB-TENANT:** The Sub-Tenant shall have until no later than on the day
(a.m./p.m.)
of, 20....., to approve the Head Lease. If the Head Lease is not satisfactory to the Sub-Tenant, at the sole and absolute discretion of the Sub-Tenant, the Sub-Tenant may terminate this Agreement by notice in writing delivered to the Sub-Landlord prior to the expiry of the time period stated above and the deposit shall be returned to the Sub-Tenant in full without deduction.

11. **APPROVAL OF SUB-TENANT BY HEAD LANDLORD:** This Offer to Sub-Lease is conditional upon the approval of the Sub-Tenant by the Head Landlord. Unless the Sub-Landlord gives notice in writing delivered to the Sub-Tenant or to the Sub-Tenant's address as hereinafter indicated not later than on the day of, 20....., that this condition is fulfilled, this offer shall be null
(a.m./p.m.)
and void and the deposit shall be returned to the Sub-Tenant in full without deduction.

12. **IRREVOCABILITY:** This offer shall be irrevocable by until on the day of, 20.....,
(Sub-Landlord/Sub-Tenant) (a.m./p.m.)
after which time if not accepted, this offer shall be null and void and all monies paid thereon shall be returned to the Sub-Tenant without interest or deduction.

13. **NOTICES:** The Sub-Landlord hereby appoints the Listing Brokerage as agent for the Sub-Landlord for the purpose of giving and receiving notices pursuant to this Agreement. Where a Brokerage (Sub-Tenant's Brokerage) has entered into a representation agreement with the Sub-Tenant, the Sub-Tenant hereby appoints the Sub-Tenant's Brokerage as agent for the purpose of giving and receiving notices pursuant to this Agreement. **The Brokerage shall not be appointed or authorized to be agent for either the Sub-Tenant or the Sub-Landlord for the purpose of giving and receiving notices where the Brokerage represents both the Sub-Landlord and the Sub-Tenant (multiple representation) or where the Sub-Tenant or the Sub-Landlord is a self-represented party.** Any notice relating hereto or provided for herein shall be in writing. In addition to any provision contained herein and in any Schedule hereto, this offer, any counter-offer, notice of acceptance thereof or any notice to be given or received pursuant to this Agreement or any Schedule hereto (any of them, "Document") shall be deemed given and received when delivered personally or hand delivered to the Address for Service provided in the Acknowledgement below, or where a facsimile number or email address is provided herein, when transmitted electronically to that facsimile number or email address, respectively, in which case, the signature(s) of the party (parties) shall be deemed to be original.

FAX No.: FAX No.:
(For delivery of Documents to Sub-Landlord) (For delivery of Documents to Sub-Tenant)

Email Address: Email Address:
(For delivery of Documents to Sub-Landlord) (For delivery of Documents to Sub-Tenant)

14. **SUB-LANDLORD'S AND SUB-TENANT'S WORK:** The Sub-Landlord agrees to complete the work described as the "Sub-Landlord's Work" in Schedule "....." attached hereto. The Sub-Tenant agrees to complete any additional work necessary to prepare the Premises for the Sub-Tenant's use, described as "Sub-Tenant's Work" in Schedule "....." attached hereto. The Sub-Tenant shall not proceed with any work within or affecting the Premises without the Sub-Landlord's and Head Landlord's prior written approval.

INITIALS OF SUB-TENANT(S):

INITIALS OF SUB-LANDLORD(S):

15. SIGNAGE: The Sub-Tenant may, at its own expense, erect signage in a good and workmanlike manner, subject to municipal by-laws and government regulations and subject to the Sub-Landlord's and Head Landlord's written approval as to the design, colour, and content of any such signs, and to be

located as follows:
.....
.....
.....

16. INSURANCE: The Sub-Tenant agrees to insure the property and operations of the Sub-Tenant, including insurance for fire and such additional perils as are normally insured against, liability insurance and any other insurance as may be reasonably required by the Sub-Landlord and Head Landlord.

17. EXECUTION OF SUB-LEASE: The Sub-Lease shall be prepared by the Sub-Landlord at the Sub-Landlord's expense, in accordance with the terms and conditions of this Agreement. The Sub-Lease will be signed and executed by both parties hereto prior to the commencement of work on the premises by either party and prior to occupancy by the Sub-Tenant.

18. OCCUPANCY OR RENT TO ABATE: In the event the premises are not completed by the Sub-Landlord for occupancy by the Sub-Tenant on the date set out herein for commencement of the Term of the Sub-Lease, the rent under this Agreement shall abate to the extent of such delay, and the Sub-Tenant hereby agrees to accept such abatement of rent in full settlement of all claims which the Sub-Tenant might otherwise make because the Premises were not ready for occupancy by the said date.

19. ASSIGNMENT: This Agreement to Sub-Lease shall not be assignable or otherwise transferable by the Sub-Tenant. The Sub-Tenant may not sublet or assign or transfer its interest in the Sub-Lease contemplated herein without securing the written consent from the Sub-Landlord, which consent shall not be unreasonably withheld, provided however, if the consent is granted, the Sub-Tenant shall remain liable for all obligations under the Sub-Lease. Any assignment or transfer of the Sub-Lease by the Sub-Tenant is to be subject to and in accordance with the terms and conditions of the Head Lease.

If the Sub-Tenant is a corporation, the transfer of the majority of the issued shares in the capital stock, or any transfer, issuance or division of shares of the corporation sufficient to transfer control of the corporation shall be deemed for all purposes to be an assignment within the meaning of this Agreement and any Sub-Lease. This provision shall not apply to a corporation whose shares are listed and traded on any recognized public stock exchange in Canada or the United States.

20. PARKING: Unless otherwise stipulated, parking, if applicable, shall be in common and unreserved.

.....
.....
.....
.....

21. AGREEMENT IN WRITING: If there is any conflict or discrepancy between any provision added to this Agreement (including any Schedule attached hereto) and any provision in the standard pre-set portion hereof, the added provision shall supersede the standard pre-set provision to the extent of such conflict or discrepancy. This Agreement, including any Schedule attached hereto, shall constitute the entire Agreement between Sub-Landlord and Sub-Tenant. There is no representation, warranty, collateral agreement or condition, which affects this Agreement other than as expressed herein. This Agreement shall be read with all changes of gender or number required by the context.

22. LEGAL, ACCOUNTING AND ENVIRONMENTAL ADVICE: The parties acknowledge that any information provided by the broker is not legal, accounting, tax or environmental advice, and that it has been recommended that the parties obtain independent professional advice prior to signing this document.

23. ELECTRONIC SIGNATURES: The parties hereto consent and agree to the use of electronic signatures pursuant to the *Electronic Commerce Act*, 2000, S.O. 2000, c17 as amended from time to time with respect to this Agreement and any other documents respecting this transaction.

24. BINDING AGREEMENT: This Agreement and the acceptance thereof shall constitute a binding agreement by the parties to enter into the Sub-Lease of the Premises and to abide by the terms and conditions herein contained.

INITIALS OF SUB-TENANT(S):



INITIALS OF SUB-LANDLORD(S):



25. SUCCESSORS AND ASSIGNS: The heirs, executors, administrators, successors and assigns of the undersigned are bound by the terms herein.

SIGNED, SEALED AND DELIVERED in the presence of: IN WITNESS whereof I have hereunto set my hand and seal:

(Witness)

(Sub-Tenant/Authorized Signing Officer)

(Seal) (Date)

(Witness)

(Sub-Tenant/Authorized Signing Officer)

(Seal) (Date)

(Witness)

(Guarantor)

(Seal) (Date)

We/I the Sub-Landlord hereby accept the above offer, and agree that the commission together with applicable Harmonized Sales Tax (and any other tax as may hereafter be applicable) may be deducted from the deposit and further agree to pay any remaining balance of commission forthwith.

SIGNED, SEALED AND DELIVERED in the presence of: IN WITNESS whereof I have hereunto set my hand and seal:

(Witness)

(Sub-Landlord/Authorized Signing Officer)

(Seal) (Date)

(Witness)

(Sub-Landlord/Authorized Signing Officer)

(Seal) (Date)

CONFIRMATION OF ACCEPTANCE: Notwithstanding anything contained herein to the contrary, I confirm this Agreement with all changes both typed and written was finally accepted by all parties at this day of....., 20.....
(a.m./p.m.)

(Signature of Sub-Landlord or Sub-Tenant)

INFORMATION ON BROKERAGE(S)

Listing Brokerage

(Tel.No.)

(Salesperson/Broker/Broker of Record Name)

Co-op/Sub-Tenant Brokerage

(Tel.No.)

(Salesperson/Broker/Broker of Record Name)

ACKNOWLEDGEMENT

I acknowledge receipt of my signed copy of this accepted Agreement to Sub-Lease and I authorize the Brokerage to forward a copy to my lawyer.

(Sub-Landlord)

(Date)

(Sub-Landlord)

(Date)

Address for Service.....

(Tel. No.)

Sub-Landlord's Lawyer.....

Address.....

Email.....

(Tel. No.)

(Fax. No.)

I acknowledge receipt of my signed copy of this accepted Agreement to Sub-Lease and I authorize the Brokerage to forward a copy to my lawyer.

(Sub-Tenant)

(Date)

(Sub-Tenant)

(Date)

Address for Service.....

(Tel. No.)

Sub-Tenant's Lawyer.....

Address.....

Email.....

(Tel. No.)

(Fax. No.)

FOR OFFICE USE ONLY

COMMISSION TRUST AGREEMENT

To: Co-operating Brokerage shown on the foregoing Agreement to Sub-Lease:

In consideration for the Co-operating Brokerage procuring the foregoing Agreement to Sub-Lease, I hereby declare that all moneys received or receivable by me in connection with the Transaction as contemplated in the MLS® Rules and Regulations of my Real Estate Board shall be receivable and held in trust. This agreement shall constitute a Commission Trust Agreement as defined in the MLS® Rules and shall be subject to and governed by the MLS® Rules pertaining to Commission Trust.

DATED as of the date and time of the acceptance of the foregoing Agreement to Sub-Lease.

Acknowledged by:

(Authorized to bind the Listing Brokerage)

(Authorized to bind the Co-operating Brokerage)



The trademarks REALTOR®, REALTORS®, MLS®, Multiple Listing Services® and associated logos are owned or controlled by The Canadian Real Estate Association (CREA) and identify the real estate professionals who are members of CREA and the quality of services they provide. Used under license.

© 2025, Ontario Real Estate Association ("OREA"). All rights reserved. This form was developed by OREA for the use and reproduction by its members and licensees only. Any other use or reproduction is prohibited except with prior written consent of OREA. Do not alter when printing or reproducing the standard pre-set portion. OREA bears no liability for your use of this form.